Interest Cover

An important factor that investors must ascertain is whether a company's profits are adequate to meet its interest dues. If not, the interest will have to be paid from either from the company's reserves, additional borrowings, or from a fresh issue of capital and these are a sure sign of financial weakness.

The interest cover ratio is calculated by dividing a company's earnings before interest and tax by its interest expense. The ratio must always be in excess of 1 — and the higher it is the better. If it is below 1, even a marginal fall in profit would force the company to pay interest out of its retained earnings or capital.

$$\text{Interest cover ratio} = \frac{\text{Earnings before interest and tax}}{\text{Interest expense}}$$

Illustration

Bombay Green Ltd. earned Rs. 450 crore before interest and tax in its latest financial year. Its interest expense was Rs. 200 crore.

$$\text{Interest cover ratio} = \frac{450}{200} = 2.25$$

The company's earnings before interest are more than double its interest expense. A comfortable situation.